HYBE (352820 KS)

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3Q26 review: OP beats consensus by 15%

3Q26 revenue up 109.8% YoY; OP turns to black

HYBE posted 3Q26 consolidated revenue of W1.53tn (+109.8% YoY) and OP of W188.5bn (turning to profit YoY), beating consensus (revenue: W1.47tn, OP: W165bn) by 3.9% and 14.6%, respectively. Strong attendance at BTS's world tour, combined with successful global tours by newer artists, drove all segments above our estimates. Gross margin fell by 1.5%p QoQ due to a higher revenue contribution from concerts, but a 5.5% QoQ drop in SG&A expenses lifted OPM to 12.4% (+0.6%p QoQ). Net profit attributable to controlling interest turned negative due to one-off valuation losses on forex assets.

[Albums] Revenue totaled W282.8bn (-13.4% QoQ, +49.0% YoY), beating our estimate by 12.5% despite fewer releases. ENHYPEN's latest album sold 2.1mn copies, becoming the group's fifth double-million seller, while CORTIS's second mini album surpassed 4mn cumulative sales on sustained catalog demand. Digital music accounted for approximately 30% of segment revenue, supported by increased streaming of existing releases from both BTS and KATSEYE.

[Concerts] Revenue reached a quarterly record of W726.8bn (+12.2% QoQ, +196.7% YoY). BTS's European and North American tours, drawing approximately 70,000 attendees per show, contributed alongside tours by ENHYPEN, LE SSERAFIM, &TEAM, BOYNEXTDOOR, TWS, ILLIT, KATSEYE, and CORTIS. Most of these tours will continue into 4Q26.

[Merchandise & Licensing] Revenue also hit a quarterly record of W334.6bn (+7.7% QoQ, +98.7% YoY). Localized North American operations encouraged repeat purchases by introducing new merchandise throughout the tours. Merchandise revenue from BTS's North American tour alone reached W107bn in 3Q26, while tour merchandise for KATSEYE and ENHYPEN continued to sell out.

[Content] Revenue totaled W56.7bn (+36.3% QoQ), supported by the KATSEYE documentary. Further growth is expected in 4Q26 with the release of BTS tour DVDs and Season's Greetings packages.

(Continued on the next page)

BUY (M)

Target price	**W265,000 (M)**
Previous target price	**W265,000**
Current price (Nov 03)	**W155,900**
Upside potential	**70%**

Market cap (Wbn)	6,720
Shares outstanding	43,106,836
Avg daily T/O (2M, Wbn)	38
Avg daily volume (2M, shrs)	220,363
52-week high/low (won)	404,500 / 155,000
Foreign ownership (%)	18.08%
Dividend yield (%)	0.15%
Major shareholders	Si-hyeok Pang & others

Stock performance

(%)	1M	3M	12M
Absolute	0.4	(10.6)	(54.5)
Relative	24.5	(0.9)	(66.0)
Abs (US$)	1.1	(4.6)	(51.5)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,526	109.8	5.2	1,469	3.9
OP	189	TTB	10.3	165	14.6
Pre-tax net profit	40	TTB	-75.7	168	-76.2
Net profit, CI	-7	RR	TTR	120	-105.7
OPM (%)	12.4	TTB	+0.6 %pt	11.2	+1.2 %pt
NPM (%)	-0.4	RR	TTR	8.2	-8.6 %pt

Note: CI = controlling interest, TTB = turn to black, TTR = turn to red, RR = remain in red

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	2,256	2,650	5,104	4,591
OP	184	49	319	508
Net profit, CI	9	-237	41	350
P/E (x)	877.7	-47.6	163.6	19.2
P/B (x)	2.6	3.5	1.9	1.7
EV/EBITDA (x)	25.5	55.7	13.6	9.0
ROE (%)	0.3	-7.3	1.2	9.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Passing the bottom, earnings leverage from junior IP to materialize in 2027

We expect earnings momentum to continue in 4Q26 given the ongoing tour schedules of major artists. Concerns over a vacuum in BTS activities in 2H26 have partially eased with additional concert dates and confirmed group and solo activities following the tour. However, the decrease in other SG&A expenses in 3Q26 was one-off in nature, and a normalization of these costs should be factored into expectations for 4Q26.

The key for next year is the accelerating monetization of junior IP. The core determinant for 2027 earnings will be the extent to which junior artists can offset the high base effect from BTS's tour, and their commercial potential is already evident in the numbers. In the second year since its debut, CORTIS achieved cumulative sales of 4mn copies for its second mini album. However, venues on its current tour were booked prior to its debut and fail to reflect the actual size of its fanbase. As upcoming tours will expand to larger venues on par with senior artists, we believe CORTIS will become the IP with the greatest concert leverage potential in 2027. KATSEYE proved its ticketing power in Western markets by claiming the top spot on the Billboard 200 (150,000 copies in the first week in the US, up 5x from previous release), and selling out all dates on its European and North American arena tours. Moreover, the group is expanding its touring footprint into an 11-city Asian arena tour in Jan 2027. It is also meaningful that the group has secured major US retail channels and global brand licensing agreements, demonstrating its ability to replicate the K-pop model of fandom monetization in the US market. In addition, if the proven merchandise operational system established during BTS tours is transplanted to junior IP tours, margin expansion will likely be bigger than top-line growth in 2027.

Maintain BUY and target price of W265,000

We maintain BUY and our target price of W265,000. We revise up our 2026 OP forecast to reflect 3Q26 earnings. We attribute the weak 3Q26 net profit to one-off factors and expect it to have a limited impact on valuation. With the stock currently trading below the lower bound of its revised valuation band, it offers compelling investment appeal from a long-term perspective (12-month-forward).

HYBE: earnings estimate **(Wbn)**

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	501	706	727	716	698	1,450	1,526	1,430	2,650	5,104	4,591
YoY (%)	38.7	10.2	37.8	-1.4	39.5	105.5	109.8	99.6	17.5	92.6	-10.0
Direct participation	323	448	477	436	404	1,040	1,075	982	1,684	3,501	3,173
(1) Album	137	229	190	218	272	327	283	349	773	1,230	1,278
(2) Performance	155	189	245	175	89	648	727	556	764	2,019	1,639
(3) Ad, appearance	31	31	43	43	43	65	66	77	147	251	256
Indirect participation	178	258	250	280	295	410	450	448	966	1,603	1,418
(4) MD & licensing	106	153	168	143	137	311	335	300	571	1,083	872
(5) Content	41	70	47	101	106	42	57	87	259	292	293
(6) Fan club	31	35	35	37	51	58	59	60	136	229	254
COGS	283	421	526	485	400	989	1,063	995	1,714	3,446	3,109
COGS-to-sales (%)	56.4	59.7	72.3	67.6	57.2	68.2	69.7	69.6	64.7	67.5	67.7
Gross profit	218	284	202	232	299	461	463	435	936	1,658	1,482
GPM (%)	43.6	40.3	27.7	32.4	42.8	31.8	30.3	30.4	35.3	32.5	32.3
SG&A expense	197	218	244	228	495	291	275	279	887	1,339	974
SG&A expense ratio (%)	39.3	31.0	33.5	31.8	70.9	20.0	18.0	19.5	33.5	26.2	21.2
OP	22	66	-42	4	-197	171	189	156	49	319	508
YoY (%)	50.3	29.4	-177.9	-93.8	TTR	159.4	-546.7	3828.9	-73.2	547.3	59.1
OPM (%)	4.3	9.3	-5.8	0.6	-28.1	11.8	12.4	10.9	1.9	6.3	11.1

Note: TTR = turn to red, Source: Yuanta Securities

HYBE: new album release schedule

Artist	1Q26	2Q26	3Q26	4Q26
BTS	5th full album (Mar 20)	Digital single (Jun 12)	Digital single (Jul 17)	
SEVENTEEN	Unit activities (Jan12)	Unit activity (V8_Vernon x THE8)		Unit (Jeonghan x Joshua)
TXT		8th mini album (Apr 13)	Yeonjun (2nd mini; Jul 10)	9th mini album (Nov 16)
ENHYPEN	7th mini album (Jan 16)		8th mini album (Aug 21)	Single album (Nov 20)
&TEAM		Japan 3rd mini album (Apr 21)	Korea 2nd mini album (Sep 8)	
BOYNEXTDOOR		1st full album (Jun 8)	1st full album (repackage; Sep 28)	
TWS		5th mini album (Apr 27)	Japan 2nd single (Aug 4)	2nd single (Nov 2)
CORTIS		2nd mini album (May 4)		3rd mini album (TBD)
LE SERRAFIM		2nd full album (May 22)	2nd single (Sep 11)	
ILLIT		4th mini album (Apr 30)		5th mini album (Oct 26)
KATSEYE			3rd mini album (Aug 14)	

Source: Yuanta Securities

HYBE: offline event schedule

Artist	1Q26	2Q26	3Q26	4Q26
BTS		World tour (24 shows) = 1.23mn	World tour (24 shows) = 1.25mn	World tour (25 shows) = 1.3mn
CORTIS/ILLIT		(Asia) Japan concerts (6 shows) = 20k	(Korea) World tour (14 shows) = 110k; (Asia) Japan tour (7 shows) = 60k	
TXT	Asia tour (15 shows) = 340k	Japan concerts (8 shows) = 90k		
ENHYPEN		Korea concerts (3 shows) = 40k	World tour (14 shows) = 240k	World tour (6 shows) = 190k
&TEAM		Asia tour (11 shows) = 130k	Asia tour (9 shows) = 120k	Korea tour (2 shows) = 20k
BOYNEXTDOOR			World tour (16 shows) = 170k	World tour (14 shows) = 100k
TWS		Korea concerts (2 shows) = 20k	Asia (Japan/Macau; 11 shows) = 100k	Asia concerts (2 shows) + @ = 20k
LE SERRAFIM	Korea concerts (2 shows) = 10k		World tour (19 shows) = 220k	World tour (13 shows) = 170k
KATSEYE			World tour (9 shows) = 140k	World tour (22 shows) = 300k

Source: Yuanta Securities

HYBE (352820 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**2,256**	**2,650**	**5,104**	**4,591**	**5,005**
Cost of sales	1,296	1,714	3,446	3,109	3,128
Gross profit	960	936	1,658	1,482	1,877
SG&A	776	887	1,339	974	1,296
Operating profit	**184**	**49**	**319**	**508**	**581**
EBITDA	330	196	459	631	695
Non-operating profit	-165	-227	-98	-6	28
Forex gains	38	-1	-46	71	88
Net interest income	-9	-8	11	21	38
Equity-method gains	-18	-12	0	4	4
Other	-175	-205	-63	-103	-103
Net prof before income tax	19	-177	221	502	608
Income tax	23	77	144	121	147
Net profit from continuing ops	-3	-254	77	380	461
Net profit from discontinued ops	0	0	0	0	0
Net profit	-3	-254	77	380	461
NP for controlling interest	**9**	**-237**	**41**	**350**	**424**
Total comprehensive income	276	-235	252	514	595
Total comprehensive income, CI	288	-218	231	486	563

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,788**	**2,364**	**2,854**	**3,295**	**4,011**
Cash & cash equivalents	412	535	594	961	1,464
Accounts receivables & other	311	329	690	625	684
Inventory	163	184	213	193	211
Non-current assets	3,691	3,121	3,257	3,177	3,149
Tangible assets	97	87	76	57	45
Investment in affiliates	216	102	98	89	97
Other investment assets	547	419	456	448	455
Total assets	**5,479**	**5,485**	**6,111**	**6,472**	**7,160**
Current liabilities	831	734	1,483	1,370	1,468
Accounts payable & other	448	463	697	631	688
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	100	0	286	286	286
Non-current liabilities	1,134	1,200	861	842	859
LT financial liabilities	386	682	398	398	398
Debentures	356	178	79	79	79
Total liabilities	**1,965**	**1,934**	**2,344**	**2,213**	**2,327**
Equity, controlling interest	3,215	3,257	3,447	3,909	4,446
Paid-in capital	21	21	22	22	22
Capital surplus	1,636	1,888	2,199	2,199	2,199
Retained earnings	1,401	1,155	1,174	1,503	1,906
Equity, non-controlling interest	299	294	320	350	387
Total equity	**3,514**	**3,551**	**3,767**	**4,259**	**4,833**
Net debt	**-125**	**-659**	**-821**	**-1,364**	**-1,989**
Total debt	1,091	1,086	983	980	983

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**152**	**107**	**1,178**	**2,298**	**2,212**
Net profit	-3	-254	77	380	461
Depreciation & amortization	62	59	53	39	31
Forex gains	-7	-6	74	-71	-88
Affiliate investment gains	18	12	0	-4	-4
Increase in net working cap	-148	-34	246	1,265	1,124
Other	230	331	726	689	688
Investing cash flow	**-10**	**-169**	**-11**	**-35**	**-28**
Investment	221	-111	-28	18	-15
Increase in tangible assets	-33	-31	-19	-20	-20
Decrease in tangible assets	1	1	0	0	0
Other	-200	-27	36	-32	7
Financing cash flow	**-118**	**187**	**-41**	**-25**	**-18**
ST financial liabilities	-153	2	2	-4	3
Debenture/LT financial liabilities	81	-7	-104	0	0
Equity	66	253	312	0	0
Cash dividend	-29	-8	-22	-21	-21
Other cash flow	-83	-52	-227	0	0
Consolidation adj and other	31	-3	-1,066	-1,872	-1,663
Increase in cash & equivalents	**54**	**123**	**59**	**366**	**504**
Beginning cash & equivalents	358	412	535	594	961
Ending cash & equivalents	412	535	594	961	1,464
NOPLAT	184	71	**319**	**508**	**581**
FCF	**119**	**76**	**1,159**	**2,278**	**2,192**

Valuation

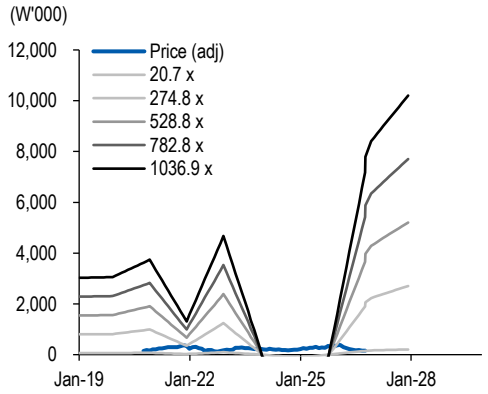
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	225	-5,673	953	8,113	9,837
BPS (won)	77,427	76,643	81,307	92,213	104,872
EBITDA/shr (won)	7,927	4,683	10,650	14,633	16,114
SPS (won)	54,155	63,360	118,493	106,503	116,097
DPS (won)	200	500	500	500	500
P/E (x)	**877.7**	**-47.6**	**163.6**	**19.2**	**15.8**
P/B (x)	**2.6**	**3.5**	**1.9**	**1.7**	**1.5**
EV/EBITDA (x)	**25.5**	**55.7**	**13.6**	**9.0**	**7.4**
P/S (x)	**3.6**	**4.3**	**1.3**	**1.5**	**1.3**

Key financial data

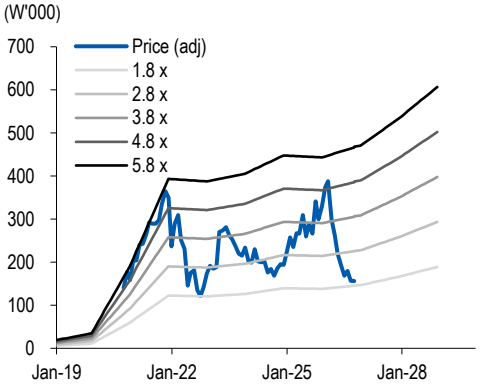
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**3.6**	**17.5**	**92.6**	**-10.0**	**9.0**
Operating profit (%YoY)	**-37.7**	**-73.2**	**546.8**	**59.1**	**14.4**
Net profit, CI (%YoY)	**-95.0**	**TTR**	**TTB**	**751.8**	**21.2**
Gross margin (%)	42.6	35.3	32.5	32.3	37.5
Operating margin (%)	**8.2**	**1.9**	**6.3**	**11.1**	**11.6**
Net margin, CI (%)	0.4	-9.0	0.8	7.6	8.5
EBITDA margin (%)	14.6	7.4	9.0	13.7	13.9
ROIC (%)	-1.6	3.4	4.0	18.9	22.3
ROA (%)	0.2	-4.3	0.7	5.6	6.2
ROE (%)	**0.3**	**-7.3**	**1.2**	**9.5**	**10.2**
Debt-to-equity (%)	55.9	54.5	62.2	52.0	48.2
Net debt-to-equity (%)	-3.9	-20.2	-23.8	-34.9	-44.7
OP/financing cost (x)	3.7	1.0	7.8	12.8	14.6

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

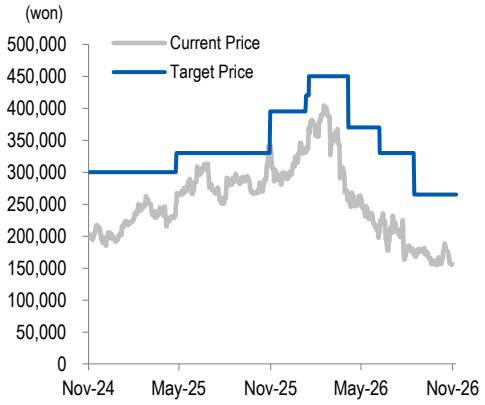
P/E band chart



P/B band chart



HYBE (352820 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/04	BUY	265,000	1 yr		
2026/08/19	BUY	265,000	1 yr		
2026/06/11	BUY	330,000	1 yr	-39.44	-28.64
2026/04/09	BUY	370,000	1 yr	-35.61	-27.57
2026/01/20	BUY	450,000	1 yr	-22.44	-10.11
2026/01/14	BUY	420,000	1 yr	-17.34	-12.74
2025/11/03	BUY	395,000	1 yr	-22.14	-12.41
2025/04/29	BUY	330,000	1 yr	-14.29	3.33
2024/11/30	After 1yr		1 yr	-24.96	-12.50

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 04, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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